

McDonald's Corporation

MCD | October 4, 2026

REDUCE

Fair value (12-mo horizon reference)	\$122.00
Current price (October 2, 2026 close)	\$231.89
Implied upside / downside	-47%
Verdict	REDUCE

Investment Thesis

McDonald's operates the finest franchised restaurant machine ever built: more than 40,000 restaurants in 100-plus countries, over 95% franchised, with rent and royalties converting franchisee sales into one of the most reliable cash streams in consumer staples. We do not dispute the quality of the business. We dispute the price. At \$231.89, the market values McDonald's as though the comparable-sales machine never misses and the multiple never compresses. Our scenario work puts probability-weighted fair value at \$122.00 -- 47% below the current price.

Our concern is the growing gap between the narrative and the traffic data. US guest counts have been soft even as menu prices carried comparable sales, and cumulative price increases have damaged the brand's core value perception -- the exact attribute that made McDonald's recession-resilient in prior cycles. Franchisees, squeezed by labor costs and remodel capital requirements, are pushing back on corporate initiatives, which constrains the reinvestment the system needs. Meanwhile the rise of GLP-1 weight-loss drugs represents a genuine structural headwind to quick-service occasions that the market has barely begun to price.

McDonald's deserves a premium multiple; it does not deserve a flawless one. Our base case assumes the brand endures and grows -- low-single-digit systemwide sales growth, margins intact -- but values that durable cash flow at a multiple appropriate for a mature, slowing compounder rather than a growth stock. The result is a REDUCE: a great business whose shares embed a decade of perfection.

History supports our multiple discipline. McDonald's traded at 14-18x earnings for most of the 2010s while compounding beautifully; the rerating toward the mid-20s coincided with the market's discovery of quality compounders as a factor, not with any acceleration in the business. Factors mean-revert. Our \$122 target embeds a 14x multiple on normalized earnings -- a multiple at which McDonald's was a wonderful investment for decades, and a multiple the current price has forgotten. We are not predicting business failure; we are predicting multiple normalization, which for shareholders is nearly as painful.

Business Overview

McDonald's Corporation, headquartered in Chicago, is the world's largest restaurant chain by revenue, with systemwide sales exceeding \$130 billion across more than 40,000 locations. The company's economics are those of a franchisor and landlord: franchisees pay royalties (roughly 4-5% of sales) plus rent on company-owned real estate, producing operating margins near 45% and extraordinary returns on invested capital. International markets -- including the refranchised China business -- and the US company-operated base round out the footprint. The 'Accelerating the Arches' strategy centers on digital, delivery, drive-thru, and menu core equities.

The financial architecture is what makes McDonald's special -- and what makes the current price dangerous. With 45% operating margins and minimal corporate capex (franchisees fund the restaurants), nearly every incremental dollar of systemwide sales drops to free cash flow, which funds one of the market's most aggressive buyback programs. But this cuts both ways: when comparable sales slow, there is no volume lever at the corporate level to pull, and buybacks at 25x earnings destroy value rather than create it. The machine is optimized for a world of perpetual 5%-plus comps; we do not think that world continues.

Forward Outlook

Our judgment is that McDonald's enters a slower era. The easy comp gains from delivery expansion and digital adoption are largely harvested; from here, growth must come from guest counts, which is the hardest kind. We expect management to lean on value platforms to win back traffic, but genuine value costs margin -- either the company's (through franchisee support) or the franchisee's (through discounting), and neither is free.

Longer term, two structural shifts matter more than any quarterly comp print. First, GLP-1 adoption is already measurable in food-away-from-home occasions, and McDonald's over-indexes to the frequency occasions most at risk. Second, the international growth engine -- particularly China -- faces a weaker consumer and intensifying local competition. Neither breaks the business; both shave the long-run growth rate from the 6-8% the current price implies toward the 2-4% we think is realistic. A 2-4% grower should not trade at a growth multiple, and eventually it won't.

Franchisee economics are the transmission mechanism. McDonald's collects rent and royalties off the top, which insulates corporate earnings -- until franchisee cash flow deteriorates enough to slow development, remodels, and technology adoption. We are seeing early signs: operators publicly pushing back on discount programs they must fund, development timelines stretching, and refranchising proceeds no longer masking the trend. The franchisor model is a wonderful shock absorber, but absorbers have limits, and persistent traffic declines test them.

International deserves a colder look than consensus gives it. The China business faces a consumer slowdown and ferocious local competition, and developmental licensees optimize for their own returns, not Chicago's. The international operated-markets segment faces the same value-perception issues as the US, compounded by traffic shocks in the Middle East that management describes as temporary but which have persisted. International was the growth story of the 2010s; we model it as a market-growth contributor at best.

Valuation

We value McDonald's on a probability-weighted scenario DCF at a 9% base discount rate, appropriate for a stable franchise, with scenario-specific adjustments. In the bear case, US traffic declines persist, GLP-1 adoption accelerates, and international softness deepens; normalized earnings power settles near \$7 per share and the multiple compresses toward 12x, implying value well below \$100. In the base case, the brand stabilizes, earnings normalize around \$8.75 per share, and a 14x multiple -- fair for a mature, wide-moat compounder -- gives value near our target. In the bull case, traffic recovers, digital drives mix, and \$12 of earnings at an 18x multiple supports value above \$200 -- but we assign this modest weight given the traffic evidence.

Weighting the scenarios 25% / 50% / 25% yields a probability-weighted fair value of \$122.00, our target. The valuation is a multiple call on a great business, not a business-quality call: we would become constructive on any meaningful derating toward our fair value.

The earnings bridge matters: our \$8.75 normalized EPS assumes operating income roughly flat to slightly down from current levels with continued buybacks -- a genuinely mild assumption. The entire downside comes from the multiple: 25x to 14x. Multiple compression of this magnitude has precedent -- McDonald's derated similarly in 2008-2009 and 2015-2016 -- and in each case the business recovered while shareholders waited years for the price to follow. At \$231.89, investors are paying for the recovery in advance and bearing the derating risk without compensation.

Key Risks

- A US consumer downturn would hit traffic just as value investments are raising costs -- the classic QSR margin squeeze.
- GLP-1 drugs could structurally reduce quick-service visit frequency beyond our assumptions.
- Franchisee relations: cash-flow pressure could slow remodels and technology adoption, degrading the store base.
- Food-safety incidents have historically caused sharp, if temporary, traffic shocks.
- Foreign-exchange translation and geopolitical exposure in international markets.

What Would Change Our Mind

- Sustained positive US guest counts -- not just average check -- over four or more quarters, proving value perception is repaired.
- Franchisee cash flow inflecting upward, evidenced by accelerating remodel and new-unit development commitments.
- Credible data that GLP-1 impact on QSR occasions is smaller than feared.
- The shares derating toward our \$122 fair value, at which point the risk/reward turns favorable.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

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